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Energy | North America

# Is Peace Mispriced?

With a MoU between the US and Iran set to be formally signed on Friday, we refresh sensitivities for our E&P & Integrated coverage and revisit what's priced in. Oil E&Ps currently trade at a 13% median '27 FCF yield near strip (\$72 WTI). Intrinsically, valuations reflect \$66 WTI.

## Key Takeaways

- Including today's move, WTI has now fallen by 29% since the US and Iran first announced a cease fire in early April, a ~\$30/bbl decline.
- Fully restoring production & inventories will take time. MS oil strategist expects Brent to be supported around \$90 in 3Q and at or above \$80 into next year.
- At strip (~\$72 WTI), we estimate median 2027 FCF yield of 11% for our oil coverage (13% for US oil E&Ps, 8% for US Majors, and 9% for Canada).
- Intrinsically, we estimate oil producer valuations reflect an average WTI price of ~\$66/bbl, or ~13% below 12-month strip of ~\$75/bbl.
- With strong FCF & attractive valuations, the pull-back creates an opportunity to add exposure to Majors and high-quality E&Ps

**Peace deal, pending release.** Over the weekend, President Trump announced that the United States and Iran have reached a MoU (memorandum of understanding) to end the conflict with a formal signing ceremony taking place in Switzerland this Friday (see [here](#) and [here](#) for more). The full text of the agreement has yet to be released, but reports indicate it calls for an end to hostilities and re-opening of the Strait of Hormuz. Both sides have indicated that discussions surrounding Iran's nuclear capabilities will take place over the next 60 days.

**Restoring production and replenishing inventories will take time.** Including today's 5% move, WTI has now fallen by 29% since the US and Iran first announced a cease fire in early April, a ~\$30/bbl decline. Assuming a near-term re-opening of the Strait, MS Oil Strategist Martijn Rats expects it to take several weeks for tanker flow to be restored (more [here](#)); with 50% of production back by Sept, and 80% by December. On these assumptions, the summer still appears tight, with a ~3.4 mb/d average deficit in 3Q (1.1 mb/d looking at just OECD). The market screens closer to balance by 4Q, assuming no further disruptions to global supply, but at this point the world will still need to replenish the substantial inventory draws that have occurred since the start of the conflict. Martijn expects Brent to be supported around \$90 in 3Q and at or above \$80/bbl into next year.

**Sensitizing commodity prices.** Broadly speaking, FCF yields and intrinsic valuations screen attractive across much of our producer coverage. The pull-back creates an opportunity to add exposure to Majors and high-quality E&Ps.

- **Oil Producers:** At strip (~\$72 WTI), we estimate median 2027 FCF yield of

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## EXPLORATION & PRODUCTION

**North America**

Industry View **In-Line**

## INTEGRATED OIL

**North America**

Industry View **Attractive**

## DIVERSIFIED NATURAL GAS

**North America**

Industry View **In-Line**

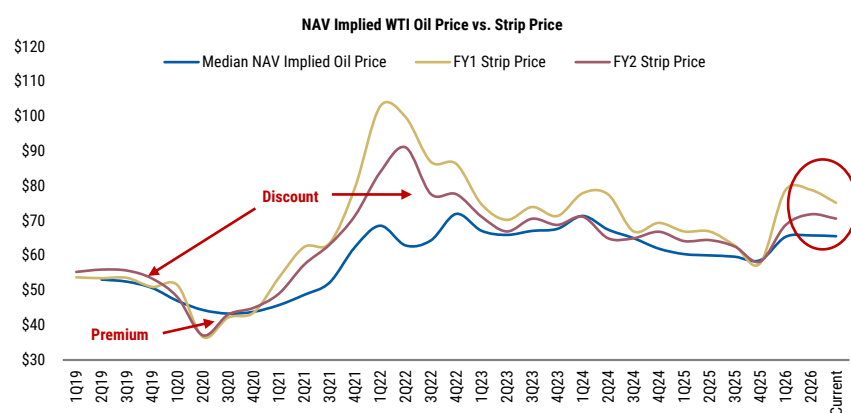
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11% for our oil coverage (13% for oil E&Ps, 8% for US majors, and 9% for Canada). This would fall to 5% at \$55 and rise to 19% at \$105, implying a ~3 percentage points change for every \$10/bbl move in WTI. Intrinsically, we estimate oil producer valuations reflect an average WTI price of ~\$66/bbl, or ~13% below 12-month strip of ~\$75/bbl.

- **Gas E&Ps:** Our median 2027 FCF yield for gas E&Ps sits at ~9% at prices near strip (\$3.50 Henry Hub), rising to 14% at \$4.50 and falling to 4% at \$2.50. Each \$0.50 move in Henry Hub changes the average FCF yield across our gas coverage by ~3 percentage points in '27. Intrinsically, we estimate gas E&Ps reflect a median Henry Hub price of ~\$3.38/mmbtu, in-line with the forward strip.

**Exhibit 1:** We estimate that oil E&Ps currently discount an average WTI price of ~\$65/bbl, well below the current 12-month strip of ~\$75.



Source: Company data, Bloomberg, FactSet, Morgan Stanley Research estimates

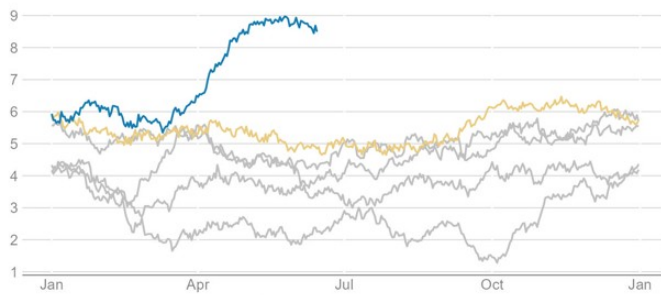
# Key Charts

**Exhibit 2:** Seaborne net exports from the US sit ~4 mb/d higher than last year...

## United States

Seaborne net exports (crude + products, 30-day avg, mb/d)

— 2021-2024 — 2025 — 2026



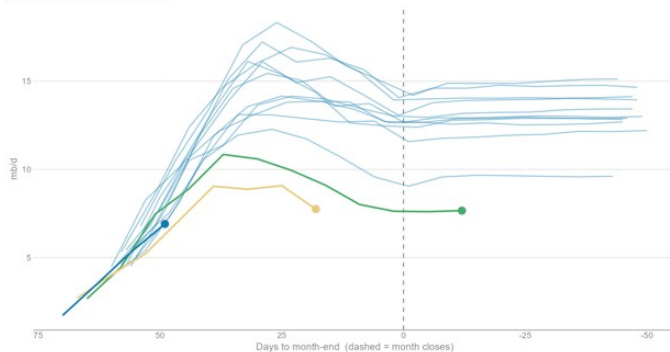
Source: Vortexa, Morgan Stanley Research

**Exhibit 4:** Based on known tanker movements, it appears net seaborne oil imports into China will be down even further in June vs May.

## China seaborne total-petroleum net imports: firming fan

Pale lines: completed months firming up. Coloured line + dot: last-closed / current / next month, as read today.

● May 2026 ● Jun 2026 ● Jul 2026



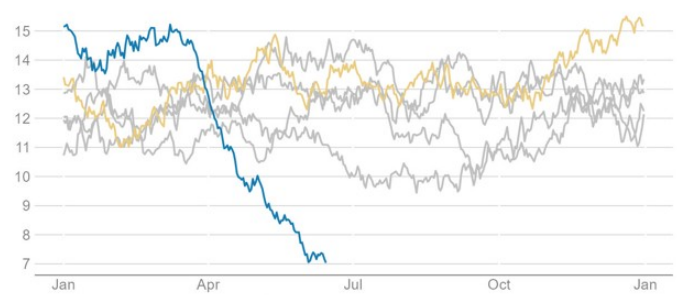
Source: Vortexa, Morgan Stanley Research

**Exhibit 3:** While net seaborne imports into China have maintained their downward trend.

## China

Seaborne net imports (crude + products, 30-day avg, mb/d)

— 2021-2024 — 2025 — 2026



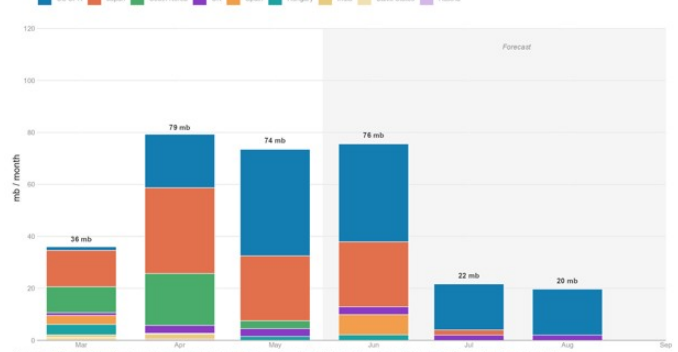
Source: Vortexa, Morgan Stanley Research

**Exhibit 5:** Global SPR releases are running at 2.5 mb/d during Apr-Jun, but are set to fall sharply to 0.7 mb/d in July and August.

## Global strategic stock draws by source, Mar-Aug 2026 (mb/month)

Actuals through May (anchored to DOE and METI data); Jun-Aug projected from announced delivery windows

■ US SPR ■ Japan ■ South Korea ■ UK ■ Spain ■ Hungary ■ India ■ Baltic States ■ Austria

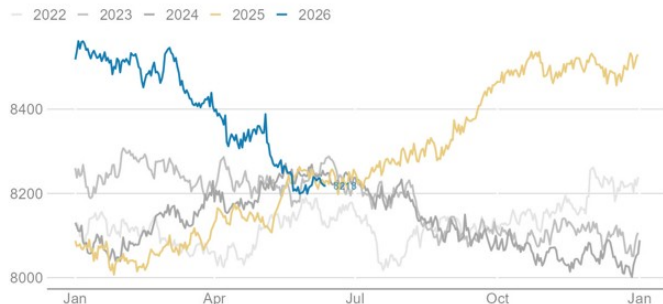


Source: US DOE Weekly Petroleum Status Report, Japan METI, Agros, Platts, Morgan Stanley Research

**Exhibit 6:** Global oil and refined product inventories have been drawing rapidly since the start of the conflict.

### Observable crude oil and oil products inventories

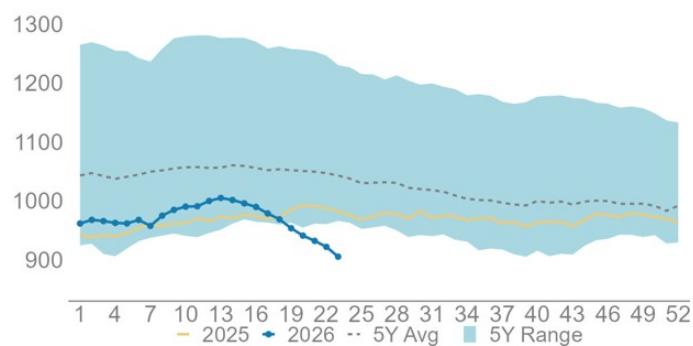
On land, at sea and in-transit (mln bbl)



Source: IEA, EIA/DOE, PJK, IE, Genscape, PAJ, Platts, Vortexa, Morgan Stanley Research

**Exhibit 8:** OECD oil stocks have fallen further below 5-year averages, driven by a large draw in the US...

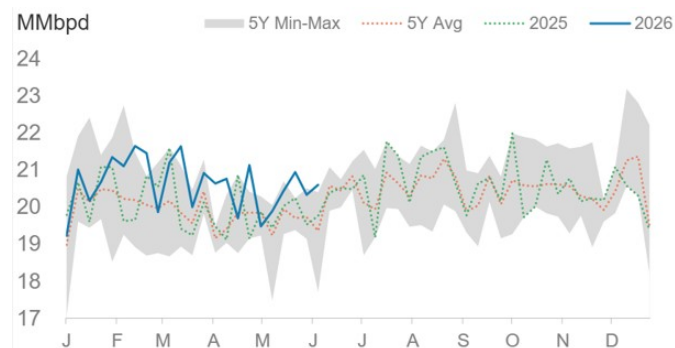
Total Crude Oil Inventories (mln bbls)



Source:

EIA, PJK International, IE Singapore, PAJ, Genscape, FEDCom/Platts. Includes US SPR.

**Exhibit 10:** Implied US product demand has held up well so far...



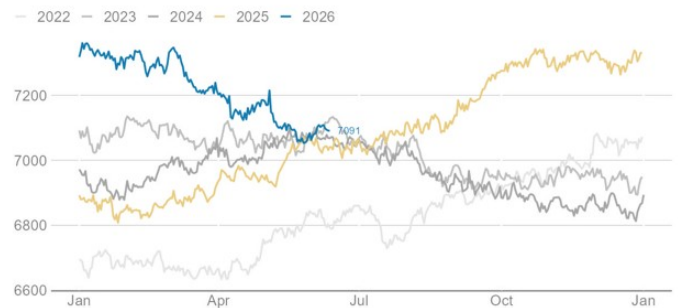
Source:

US EIA, Morgan Stanley Research.

**Exhibit 7:** ...including large draws in commercial storage.

### Observable crude oil and oil products inventories

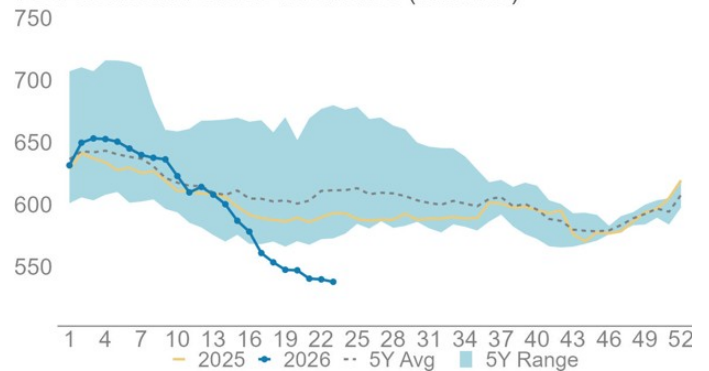
In commercial storage only (mln bbl)



Source: IEA, EIA/DOE, PJK, IE, Genscape, PAJ, Platts, Vortexa, Morgan Stanley Research

**Exhibit 9:** ...While refined product stocks have continued to grind lower as well

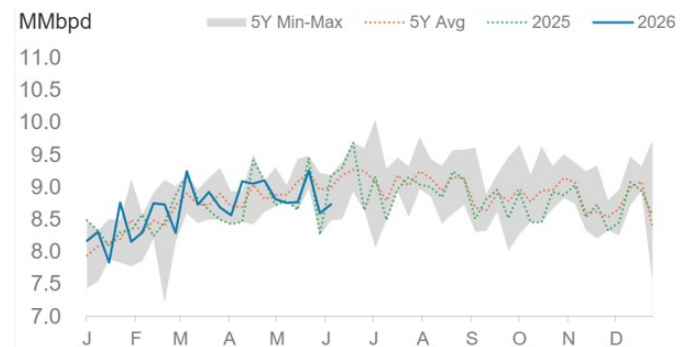
Total Refined Products Inventories (mln bbls)



Source:

EIA, PJK International, IE Singapore, PAJ, Genscape, FEDCom/Platts

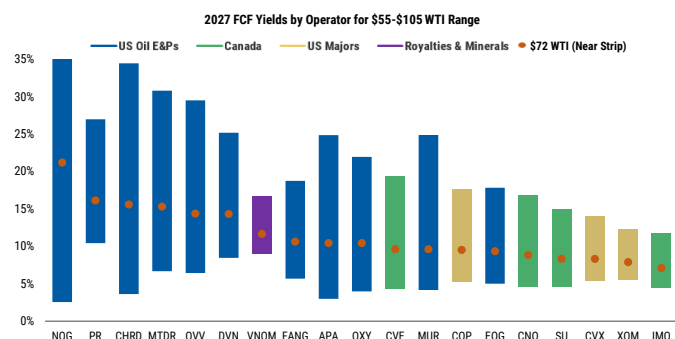
**Exhibit 11:** ...with gasoline consumption still within normal ranges



Source:

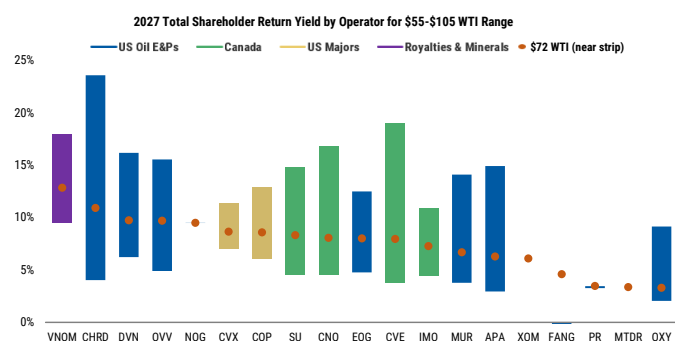
US EIA, Morgan Stanley Research.

**Exhibit 12:** Our oil-weighted coverage would offer an average 2027 FCF yield of 11% near the current strip (~\$72), 13% looking just at E&Ps. This would rise to 19% at \$105, and fall to 5% at \$55.



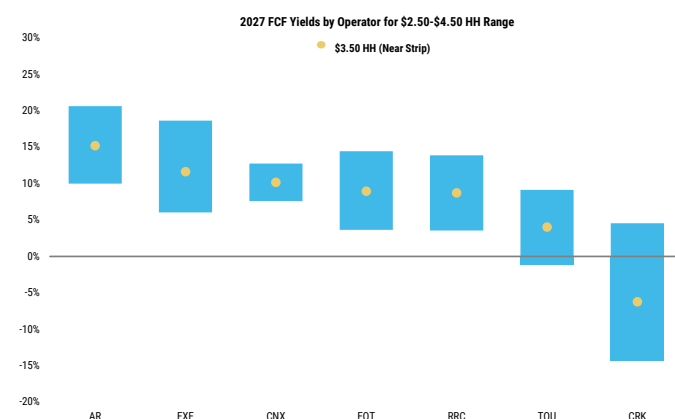
Source: FactSet, Morgan Stanley Research estimates. Note: Y-axis was cut off at 35%.

**Exhibit 14:** We estimate total shareholder return yield of 8% at current strip for our oil-weighted coverage. This would increase to 13% at \$105 WTI and decrease to 5% at \$55.



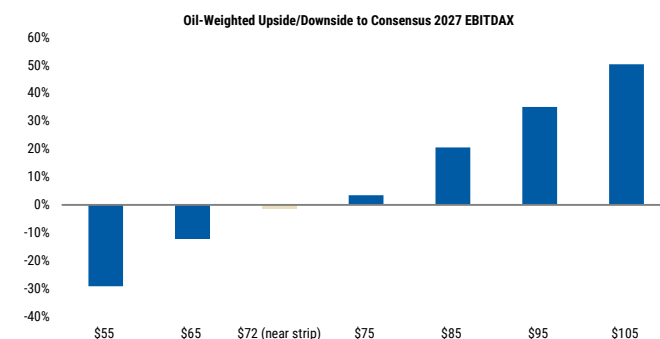
Source: FactSet, Morgan Stanley Research estimates

**Exhibit 16:** Gas E&Ps offer an average 2027 FCF yield of 9% at \$3.50 (near the HH strip). This would rise to 14% at \$4.50 and fall to 4% at \$2.50.



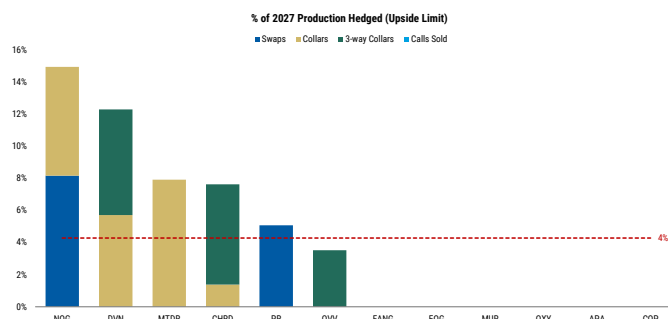
Source: FactSet, Morgan Stanley Research estimates

**Exhibit 13:** We estimate consensus is currently pricing in ~\$72 WTI (near strip) in 2027 for our oil-weighted coverage.



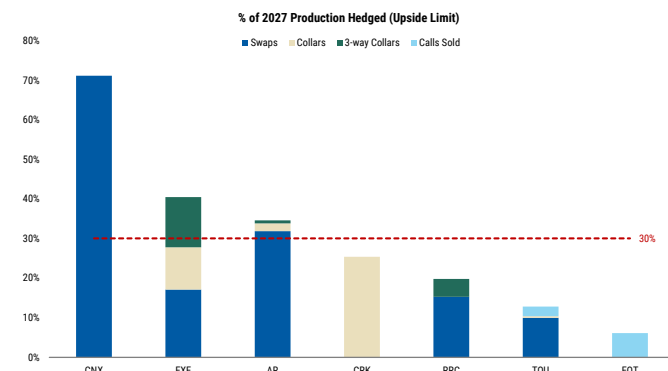
Source: FactSet, Morgan Stanley Research estimates

**Exhibit 15:** Oil E&Ps have roughly 5% of their production hedged in 2027.



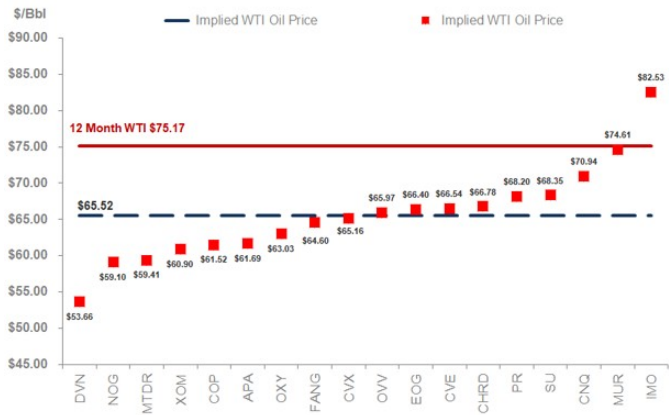
Source: Company filings, Morgan Stanley Research estimates

**Exhibit 17:** Gas E&Ps have hedged ~30% of estimated 2027 production on average.



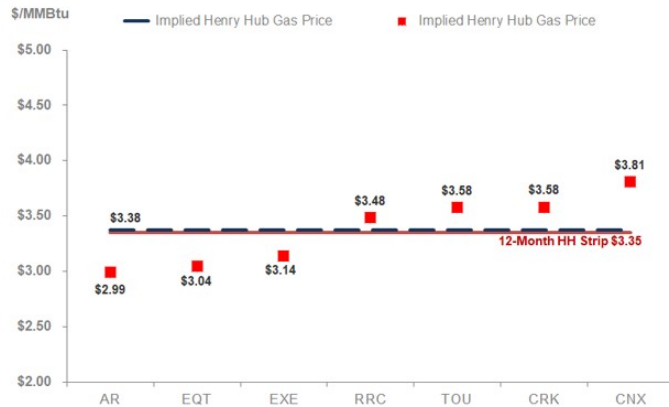
Source: Company filings, Morgan Stanley Research estimates

**Exhibit 18:** The US Oil E&P sector reflects an average WTI price of ~\$66/bbl, or ~13% below 12-month strip of ~\$75/bbl.



Source: Bloomberg, FactSet, Morgan Stanley Research estimates. Note: Intraday prices as of 6.15.2026.

**Exhibit 19:** Gas E&Ps reflect a median Henry Hub price of ~\$3.38/mmbtu, in-line with 12-month strip.

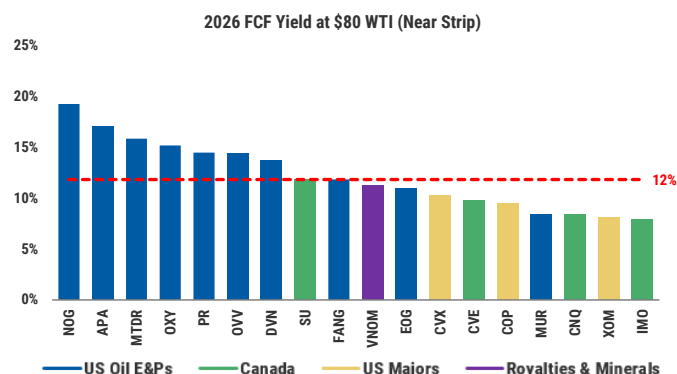


Source: Bloomberg, FactSet, Morgan Stanley Research estimates. Note: Intraday prices as of 6.15.2026.

# Sensitizing Oil Prices

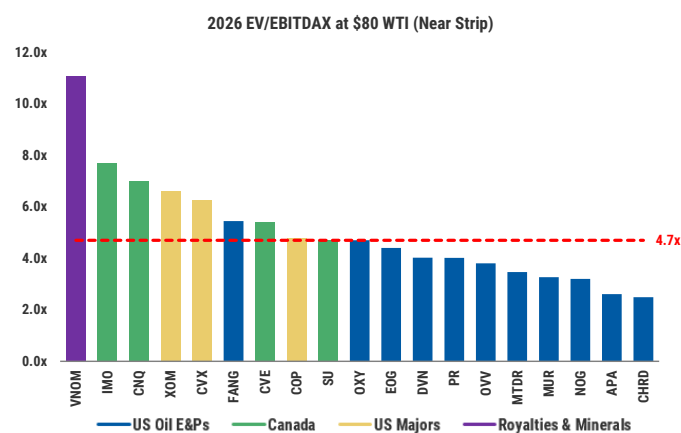
## \$80 WTI in 2026 (near the average of YTD actual prices and the balance of year strip)

**Exhibit 20:** We estimate a median 2026 FCF yield of 12% for oil producers.



Source: FactSet, Morgan Stanley Research estimates.

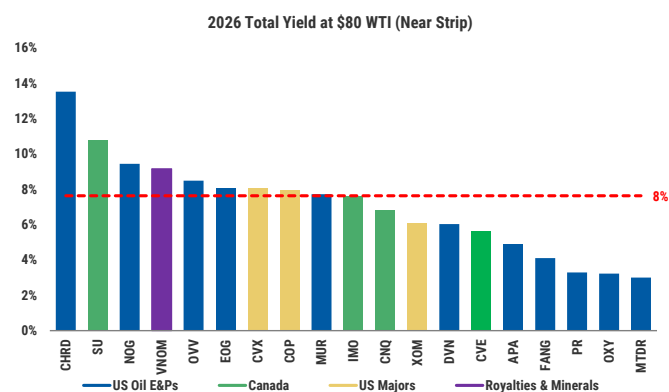
**Exhibit 22:** The median EV/EBITDAX at \$80 WTI is 4.7x.



Source: FactSet, Morgan Stanley Research estimates.

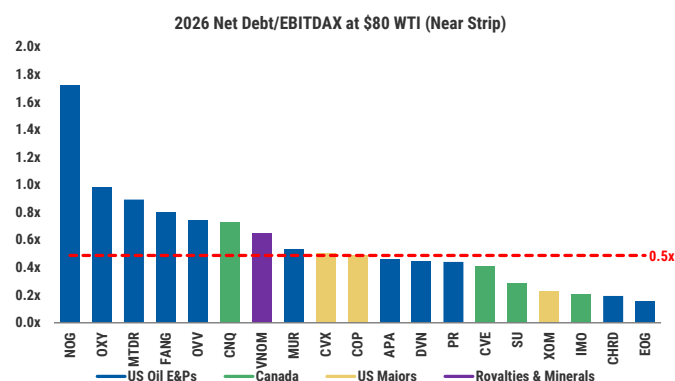
## \$72 WTI in 2027 (near strip)

**Exhibit 21:** The median for total shareholder return sits at 8%.



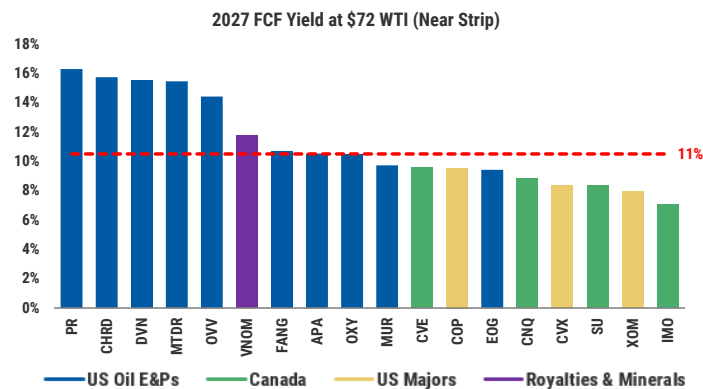
Source: FactSet, Morgan Stanley Research estimates.

**Exhibit 23:** Net leverage for the group sits at 0.5x.



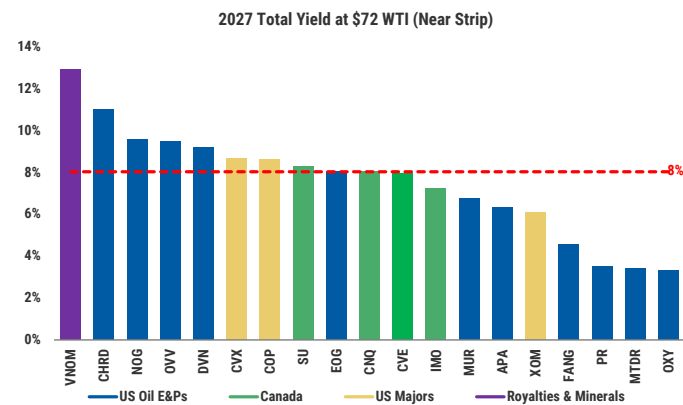
Source: FactSet, Morgan Stanley Research estimates.

**Exhibit 24:** We estimate median 2027 FCF yield of 11% for our oil producer coverage (~13% for just E&Ps), with the highest from PR, CHRD & DVN.



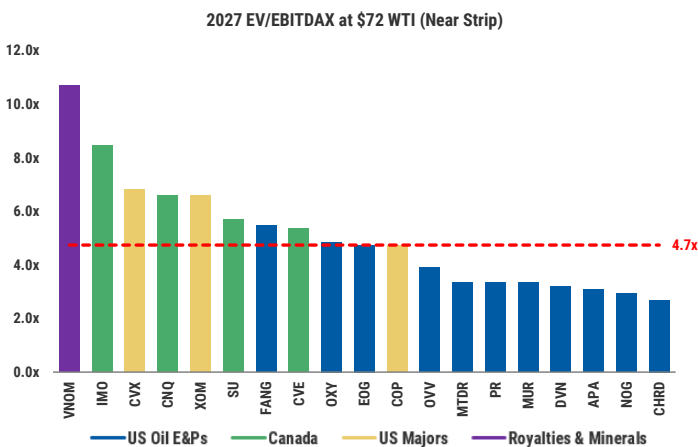
Source: FactSet, Morgan Stanley Research estimates.

**Exhibit 25:** The median total shareholder return yield for the group sits at 8%.



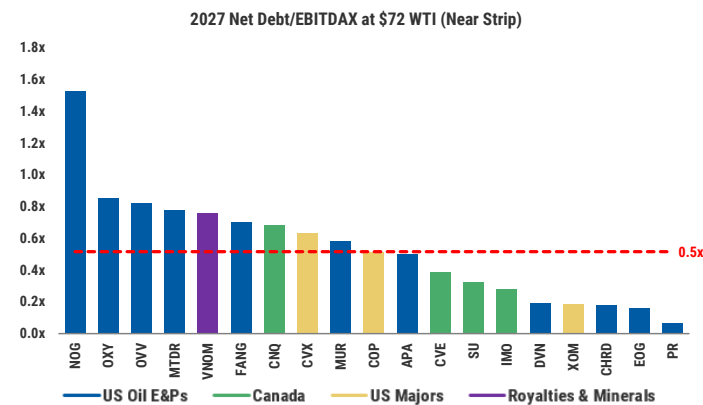
Source: FactSet, Morgan Stanley Research estimates.

**Exhibit 26:** We estimate EV/EBITDAX for oil producers next year at roughly 4.7x.



Source: FactSet, Morgan Stanley Research estimates.

**Exhibit 27:** Net debt/EBITDAX sits at 0.5x, with the lowest from PR, CHRD and EOG.



Source: FactSet, Morgan Stanley Research estimates.



**Exhibit 28:**

Sensitivities - FCF yields across \$55-105 WTI

|                                |        | 2026E FCF/Equity yield (Pre-Div) |          |          |          |           | 2027E FCF/Equity yield (Pre-Div) |          |          |          |          |           |
|--------------------------------|--------|----------------------------------|----------|----------|----------|-----------|----------------------------------|----------|----------|----------|----------|-----------|
| Company                        | Ticker | \$65 WTI                         | \$75 WTI | \$85 WTI | \$95 WTI | \$105 WTI | \$55 WTI                         | \$65 WTI | \$75 WTI | \$85 WTI | \$95 WTI | \$105 WTI |
| US Majors                      |        |                                  |          |          |          |           |                                  |          |          |          |          |           |
| Chevron Corp.                  | CVX    | 8%                               | 10%      | 11%      | 12%      | 14%       | 5%                               | 7%       | 9%       | 11%      | 12%      | 14%       |
| Exxon Mobil Corporation        | XOM    | 6%                               | 7%       | 9%       | 10%      | 12%       | 6%                               | 7%       | 8%       | 10%      | 11%      | 12%       |
| US Majors Median               |        | 7%                               | 9%       | 10%      | 11%      | 13%       | 5%                               | 7%       | 9%       | 10%      | 12%      | 13%       |
| Canada                         |        |                                  |          |          |          |           |                                  |          |          |          |          |           |
| Canadian Natural Resources Ltd | CNQ    | 5%                               | 7%       | 10%      | 12%      | 14%       | 5%                               | 7%       | 10%      | 12%      | 14%      | 17%       |
| Cenovus Energy Inc             | CVE    | 6%                               | 8%       | 11%      | 14%      | 17%       | 4%                               | 8%       | 11%      | 13%      | 16%      | 19%       |
| Imperial Oil Ltd               | IMO    | 6%                               | 7%       | 9%       | 10%      | 12%       | 5%                               | 6%       | 7%       | 9%       | 10%      | 12%       |
| Suncor Energy Inc              | SU     | 9%                               | 11%      | 13%      | 15%      | 17%       | 5%                               | 7%       | 9%       | 11%      | 13%      | 15%       |
| Canada Median                  |        | 6%                               | 8%       | 10%      | 13%      | 16%       | 5%                               | 7%       | 9%       | 11%      | 14%      | 16%       |
| Oil E&Ps                       |        |                                  |          |          |          |           |                                  |          |          |          |          |           |
| APA Corp.                      | APA    | 11%                              | 15%      | 19%      | 24%      | 28%       | 3%                               | 7%       | 12%      | 16%      | 21%      | 25%       |
| Chord Energy Corp.             | CHRD   | 11%                              | 17%      | 22%      | 28%      | 33%       | 4%                               | 11%      | 18%      | 24%      | 30%      | 35%       |
| ConocoPhillips                 | COP    | 6%                               | 8%       | 11%      | 13%      | 15%       | 5%                               | 8%       | 10%      | 13%      | 15%      | 18%       |
| Devon Energy Corp.             | DVN    | 14%                              | 14%      | 14%      | 15%      | 17%       | 8%                               | 14%      | 16%      | 19%      | 22%      | 25%       |
| Diamondback Energy, Inc.       | FANG   | 8%                               | 11%      | 13%      | 16%      | 18%       | 6%                               | 9%       | 11%      | 14%      | 16%      | 19%       |
| EOG Resources Inc.             | EOG    | 7%                               | 10%      | 12%      | 15%      | 17%       | 5%                               | 8%       | 10%      | 13%      | 15%      | 18%       |
| Matador Resources Co.          | MTDR   | 12%                              | 15%      | 17%      | 19%      | 22%       | 7%                               | 12%      | 17%      | 22%      | 27%      | 31%       |
| Murphy Oil Corp.               | MUR    | 0%                               | 6%       | 11%      | 16%      | 21%       | 4%                               | 7%       | 11%      | 16%      | 21%      | 25%       |
| Northern Oil and Gas, Inc      | NOG    | 12%                              | 17%      | 22%      | 25%      | 27%       | 3%                               | 14%      | 25%      | 36%      | 44%      | 51%       |
| Occidental Petroleum Corp.     | OXY    | 10%                              | 14%      | 17%      | 20%      | 22%       | 4%                               | 8%       | 12%      | 15%      | 19%      | 22%       |
| Ovintiv Inc                    | OVV    | 9%                               | 13%      | 16%      | 20%      | 23%       | 6%                               | 11%      | 16%      | 20%      | 25%      | 30%       |
| Permian Resources Corp.        | PR     | 11%                              | 13%      | 16%      | 18%      | 21%       | 11%                              | 14%      | 17%      | 21%      | 24%      | 27%       |
| Oil E&Ps Median                |        | 10%                              | 13%      | 16%      | 19%      | 21%       | 5%                               | 10%      | 14%      | 17%      | 21%      | 25%       |
| Royalties & Minerals           |        |                                  |          |          |          |           |                                  |          |          |          |          |           |
| Viper Energv, Inc.             | VNOM   | 9%                               | 11%      | 12%      | 13%      | 15%       | 9%                               | 11%      | 12%      | 14%      | 15%      | 17%       |

Source: FactSet, Morgan Stanley Research estimates

**Exhibit 29:**

Total Yield (Dividends + Buybacks)

|                                |        | 2026E Total Shareholder Return Yield |          |          |          |           | 2027E Total Shareholder Return Yield |          |          |          |          |           |
|--------------------------------|--------|--------------------------------------|----------|----------|----------|-----------|--------------------------------------|----------|----------|----------|----------|-----------|
| Company                        | Ticker | \$65 WTI                             | \$75 WTI | \$85 WTI | \$95 WTI | \$105 WTI | \$55 WTI                             | \$65 WTI | \$75 WTI | \$85 WTI | \$95 WTI | \$105 WTI |
| US Majors                      |        |                                      |          |          |          |           |                                      |          |          |          |          |           |
| Chevron Corp.                  | CVX    | 7%                                   | 8%       | 8%       | 9%       | 10%       | 7%                                   | 8%       | 9%       | 9%       | 10%      | 11%       |
| Exxon Mobil Corporation        | XOM    | 6%                                   | 6%       | 6%       | 6%       | 6%        | 6%                                   | 6%       | 6%       | 6%       | 6%       | 6%        |
| US Majors Median               |        | 7%                                   | 7%       | 7%       | 8%       | 8%        | 7%                                   | 7%       | 7%       | 8%       | 8%       | 9%        |
| Canada                         |        |                                      |          |          |          |           |                                      |          |          |          |          |           |
| Canadian Natural Resources Ltd | CNQ    | 4%                                   | 6%       | 8%       | 9%       | 11%       | 5%                                   | 6%       | 9%       | 11%      | 14%      | 17%       |
| Cenovus Energy Inc             | CVE    | 3%                                   | 5%       | 7%       | 9%       | 11%       | 4%                                   | 6%       | 9%       | 11%      | 15%      | 19%       |
| Imperial Oil Ltd               | IMO    | 5%                                   | 7%       | 8%       | 10%      | 12%       | 4%                                   | 6%       | 8%       | 9%       | 10%      | 11%       |
| Suncor Energy Inc              | SU     | 7%                                   | 9%       | 12%      | 15%      | 17%       | 5%                                   | 7%       | 9%       | 11%      | 13%      | 15%       |
| Canada Median                  |        | 5%                                   | 6%       | 8%       | 10%      | 12%       | 4%                                   | 6%       | 9%       | 11%      | 13%      | 16%       |
| Oil E&Ps                       |        |                                      |          |          |          |           |                                      |          |          |          |          |           |
| APA Corp.                      | APA    | 4%                                   | 5%       | 5%       | 6%       | 7%        | 3%                                   | 4%       | 7%       | 10%      | 12%      | 15%       |
| Chord Energy Corp.             | CHRD   | 8%                                   | 12%      | 16%      | 19%      | 22%       | 4%                                   | 8%       | 12%      | 17%      | 20%      | 24%       |
| ConocoPhillips                 | COP    | 6%                                   | 7%       | 8%       | 10%      | 11%       | 6%                                   | 8%       | 9%       | 10%      | 12%      | 13%       |
| Devon Energy Corp.             | DVN    | 6%                                   | 6%       | 6%       | 7%       | 7%        | 6%                                   | 8%       | 10%      | 11%      | 14%      | 16%       |
| Diamondback Energy, Inc.       | FANG   | 5%                                   | 4%       | 4%       | 4%       | 4%        | 4%                                   | 5%       | 4%       | 3%       | 3%       | 3%        |
| EOG Resources Inc.             | EOG    | 6%                                   | 7%       | 9%       | 10%      | 12%       | 5%                                   | 7%       | 8%       | 10%      | 11%      | 13%       |
| Matador Resources Co.          | MTDR   | 3%                                   | 3%       | 3%       | 3%       | 3%        | 3%                                   | 3%       | 3%       | 3%       | 3%       | 3%        |
| Murphy Oil Corp.               | MUR    | 5%                                   | 7%       | 9%       | 11%      | 13%       | 4%                                   | 5%       | 7%       | 10%      | 12%      | 14%       |
| Northern Oil and Gas, Inc      | NOG    | 9%                                   | 9%       | 9%       | 9%       | 9%        | 10%                                  | 10%      | 10%      | 10%      | 10%      | 10%       |
| Occidental Petroleum Corp.     | OXY    | 2%                                   | 3%       | 4%       | 5%       | 6%        | 2%                                   | 2%       | 4%       | 6%       | 7%       | 9%        |
| Ovintiv Inc                    | OVV    | 6%                                   | 8%       | 9%       | 10%      | 12%       | 5%                                   | 8%       | 10%      | 12%      | 14%      | 16%       |
| Permian Resources Corp.        | PR     | 3%                                   | 3%       | 3%       | 3%       | 3%        | 3%                                   | 4%       | 4%       | 4%       | 4%       | 4%        |
| Oil E&Ps Median                |        | 5%                                   | 6%       | 7%       | 8%       | 8%        | 4%                                   | 6%       | 8%       | 10%      | 11%      | 13%       |
| Royalties & Minerals           |        |                                      |          |          |          |           |                                      |          |          |          |          |           |
| Viper Energv, Inc.             | VNOM   | 7%                                   | 9%       | 10%      | 11%      | 12%       | 10%                                  | 12%      | 13%      | 15%      | 16%      | 18%       |

Source: FactSet, Morgan Stanley Research estimates

## Exhibit 30:

## EV/EBITDAX Multiples

|                                |        | 2026E EV/EBITDAX |          |          |          |           | 2027E EV/EBITDAX |          |          |          |          |           |
|--------------------------------|--------|------------------|----------|----------|----------|-----------|------------------|----------|----------|----------|----------|-----------|
| Company                        | Ticker | \$65 WTI         | \$75 WTI | \$85 WTI | \$95 WTI | \$105 WTI | \$55 WTI         | \$65 WTI | \$75 WTI | \$85 WTI | \$95 WTI | \$105 WTI |
| US Majors                      |        |                  |          |          |          |           |                  |          |          |          |          |           |
| Chevron Corp.                  | CVX    | 7.7x             | 6.7x     | 5.8x     | 5.2x     | 4.6x      | 9.1x             | 7.5x     | 6.5x     | 5.5x     | 4.8x     | 4.2x      |
| Exxon Mobil Corporation        | XOM    | 8.0x             | 7.0x     | 6.1x     | 5.5x     | 5.0x      | 8.5x             | 7.2x     | 6.3x     | 5.4x     | 4.8x     | 4.2x      |
| US Majors Median               |        | 7.8x             | 6.9x     | 6.0x     | 5.4x     | 4.8x      | 8.8x             | 7.4x     | 6.4x     | 5.5x     | 4.8x     | 4.2x      |
|                                |        |                  |          |          |          |           |                  |          |          |          |          |           |
| Canada                         |        |                  |          |          |          |           |                  |          |          |          |          |           |
| Canadian Natural Resources Ltd | CNQ    | 9.7x             | 7.9x     | 6.1x     | 5.3x     | 4.4x      | 10.1x            | 7.5x     | 6.2x     | 4.9x     | 4.2x     | 3.5x      |
| Cenovus Energy Inc             | CVE    | 7.5x             | 6.1x     | 4.7x     | 4.1x     | 3.4x      | 8.6x             | 6.2x     | 5.0x     | 3.9x     | 3.3x     | 2.7x      |
| Imperial Oil Ltd               | IMO    | 9.9x             | 8.4x     | 7.0x     | 6.2x     | 5.4x      | 12.2x            | 9.5x     | 8.0x     | 6.6x     | 5.7x     | 4.8x      |
| Suncor Energy Inc              | SU     | 5.8x             | 5.1x     | 4.4x     | 4.0x     | 3.6x      | 8.3x             | 6.4x     | 5.4x     | 4.5x     | 3.9x     | 3.3x      |
| Canada Median                  |        | 8.6x             | 7.0x     | 5.4x     | 4.7x     | 4.0x      | 9.3x             | 6.9x     | 5.8x     | 4.7x     | 4.1x     | 3.4x      |
|                                |        |                  |          |          |          |           |                  |          |          |          |          |           |
| Oil E&Ps                       |        |                  |          |          |          |           |                  |          |          |          |          |           |
| APA Corp.                      | APA    | 3.3x             | 2.8x     | 2.4x     | 2.1x     | 1.8x      | 4.5x             | 3.5x     | 2.9x     | 2.3x     | 2.0x     | 1.6x      |
| Chord Energy Corp.             | CHRD   | 3.4x             | 2.8x     | 2.2x     | 1.9x     | 1.6x      | 5.0x             | 3.3x     | 2.5x     | 1.7x     | 1.3x     | 0.8x      |
| ConocoPhillips                 | COP    | 6.1x             | 5.2x     | 4.3x     | 3.8x     | 3.3x      | 6.7x             | 5.3x     | 4.5x     | 3.6x     | 3.1x     | 2.6x      |
| Devon Energy Corp.             | DVN    | 3.9x             | 4.0x     | 4.1x     | 3.8x     | 3.5x      | 5.1x             | 3.5x     | 3.1x     | 2.7x     | 2.4x     | 2.0x      |
| Diamondback Energy, Inc.       | FANG   | 7.1x             | 6.0x     | 4.9x     | 4.3x     | 3.7x      | 7.9x             | 6.2x     | 5.2x     | 4.1x     | 3.6x     | 3.0x      |
| EOG Resources Inc.             | EOG    | 5.6x             | 4.8x     | 4.0x     | 3.6x     | 3.1x      | 6.5x             | 5.3x     | 4.5x     | 3.7x     | 3.2x     | 2.8x      |
| Matador Resources Co.          | MTDR   | 3.9x             | 3.6x     | 3.3x     | 3.1x     | 2.9x      | 4.6x             | 3.8x     | 3.2x     | 2.6x     | 2.2x     | 1.8x      |
| Murphy Oil Corp.               | MUR    | 4.3x             | 3.6x     | 2.9x     | 2.5x     | 2.1x      | 5.5x             | 3.9x     | 3.1x     | 2.4x     | 2.0x     | 1.5x      |
| Northern Oil and Gas, Inc      | NOG    | 3.7x             | 3.4x     | 3.1x     | 2.9x     | 2.7x      | 4.2x             | 3.3x     | 2.8x     | 2.2x     | 1.9x     | 1.6x      |
| Occidental Petroleum Corp.     | OXY    | 6.1x             | 5.2x     | 4.2x     | 3.8x     | 3.3x      | 7.5x             | 5.6x     | 4.6x     | 3.6x     | 3.0x     | 2.5x      |
| Ovintiv Inc                    | OVV    | 4.8x             | 4.1x     | 3.5x     | 3.1x     | 2.7x      | 5.8x             | 4.5x     | 3.7x     | 2.9x     | 2.4x     | 2.0x      |
| Permian Resources Corp.        | PR     | 4.8x             | 4.3x     | 3.8x     | 3.4x     | 3.0x      | 4.6x             | 3.8x     | 3.2x     | 2.6x     | 2.2x     | 1.9x      |
| Oil E&Ps Median                |        | 4.6x             | 4.1x     | 3.6x     | 3.2x     | 3.0x      | 5.3x             | 3.8x     | 3.2x     | 2.7x     | 2.3x     | 1.9x      |
|                                |        |                  |          |          |          |           |                  |          |          |          |          |           |
| Royalties & Minerals           |        |                  |          |          |          |           |                  |          |          |          |          |           |
| Viper Energy, Inc.             | VNOM   | 13.6x            | 11.9x    | 10.2x    | 9.2x     | 8.1x      | 13.9x            | 11.7x    | 10.3x    | 8.8x     | 7.9x     | 7.0x      |

Source: FactSet, Morgan Stanley Research estimates.

## Exhibit 31:

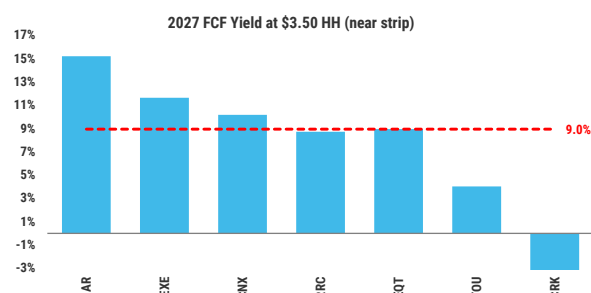
## Leverage - Net debt/EBITDAX

|                                |        | 2026E Net Debt/EBITDAX |          |          |          |           | 2027E Net Debt/EBITDAX |          |          |          |          |           |
|--------------------------------|--------|------------------------|----------|----------|----------|-----------|------------------------|----------|----------|----------|----------|-----------|
| Company                        | Ticker | \$65 WTI               | \$75 WTI | \$85 WTI | \$95 WTI | \$105 WTI | \$55 WTI               | \$65 WTI | \$75 WTI | \$85 WTI | \$95 WTI | \$105 WTI |
| US Majors                      |        |                        |          |          |          |           |                        |          |          |          |          |           |
| Chevron Corp.                  | CVX    | 0.7x                   | 0.6x     | 0.4x     | 0.4x     | 0.3x      | 1.0x                   | 0.8x     | 0.6x     | 0.4x     | 0.3x     | 0.2x      |
| Exxon Mobil Corporation        | XOM    | 0.4x                   | 0.3x     | 0.2x     | 0.1x     | 0.0x      | 0.6x                   | 0.3x     | 0.1x     | -0.1x    | -0.2x    | -0.3x     |
| US Majors Median               |        | 0.5x                   | 0.4x     | 0.3x     | 0.2x     | 0.2x      | 0.8x                   | 0.5x     | 0.4x     | 0.2x     | 0.1x     | -0.1x     |
| Canada                         |        |                        |          |          |          |           |                        |          |          |          |          |           |
| Canadian Natural Resources Ltd | CNQ    | 1.1x                   | 0.8x     | 0.6x     | 0.5x     | 0.4x      | 1.3x                   | 0.8x     | 0.6x     | 0.5x     | 0.4x     | 0.4x      |
| Cenovus Energy Inc             | CVE    | 0.7x                   | 0.5x     | 0.3x     | 0.3x     | 0.2x      | 0.8x                   | 0.5x     | 0.3x     | 0.2x     | 0.2x     | 0.2x      |
| Imperial Oil Ltd               | IMO    | 0.3x                   | 0.2x     | 0.2x     | 0.2x     | 0.2x      | 0.4x                   | 0.3x     | 0.3x     | 0.2x     | 0.2x     | 0.1x      |
| Suncor Energy Inc              | SU     | 0.3x                   | 0.3x     | 0.3x     | 0.3x     | 0.3x      | 0.6x                   | 0.3x     | 0.3x     | 0.3x     | 0.3x     | 0.3x      |
| Canada Median                  |        | 0.5x                   | 0.4x     | 0.3x     | 0.3x     | 0.2x      | 0.7x                   | 0.4x     | 0.3x     | 0.3x     | 0.3x     | 0.2x      |
| Oil E&Ps                       |        |                        |          |          |          |           |                        |          |          |          |          |           |
| APA Corp.                      | APA    | 0.7x                   | 0.5x     | 0.4x     | 0.3x     | 0.2x      | 1.0x                   | 0.6x     | 0.4x     | 0.2x     | 0.1x     | 0.0x      |
| Chord Energy Corp.             | CHRD   | 0.4x                   | 0.3x     | 0.1x     | 0.0x     | 0.0x      | 0.9x                   | 0.4x     | 0.1x     | -0.1x    | -0.3x    | -0.5x     |
| ConocoPhillips                 | COP    | 0.7x                   | 0.6x     | 0.4x     | 0.3x     | 0.3x      | 0.9x                   | 0.6x     | 0.5x     | 0.3x     | 0.2x     | 0.1x      |
| Devon Energy Corp.             | DVN    | 0.4x                   | 0.4x     | 0.5x     | 0.4x     | 0.3x      | 0.7x                   | 0.2x     | 0.2x     | 0.1x     | 0.1x     | 0.0x      |
| Diamondback Energy, Inc.       | FANG   | 1.2x                   | 0.9x     | 0.7x     | 0.5x     | 0.4x      | 1.4x                   | 1.0x     | 0.6x     | 0.2x     | 0.1x     | -0.1x     |
| EOG Resources Inc.             | EOG    | 0.3x                   | 0.2x     | 0.1x     | 0.1x     | 0.0x      | 0.3x                   | 0.2x     | 0.1x     | 0.0x     | -0.1x    | -0.1x     |
| Matador Resources Co.          | MTDR   | 1.0x                   | 0.9x     | 0.9x     | 0.8x     | 0.7x      | 1.2x                   | 1.0x     | 0.7x     | 0.4x     | 0.3x     | 0.1x      |
| Murphy Oil Corp.               | MUR    | 0.9x                   | 0.6x     | 0.4x     | 0.3x     | 0.2x      | 1.2x                   | 0.7x     | 0.5x     | 0.3x     | 0.2x     | 0.0x      |
| Northern Oil and Gas, Inc      | NOG    | 2.0x                   | 1.8x     | 1.6x     | 1.5x     | 1.4x      | 2.4x                   | 1.8x     | 1.4x     | 1.0x     | 0.8x     | 0.6x      |
| Occidental Petroleum Corp.     | OXY    | 1.4x                   | 1.1x     | 0.8x     | 0.7x     | 0.6x      | 1.7x                   | 1.0x     | 0.8x     | 0.5x     | 0.4x     | 0.2x      |
| Ovintiv Inc                    | OVV    | 1.0x                   | 0.8x     | 0.6x     | 0.5x     | 0.4x      | 1.4x                   | 1.0x     | 0.7x     | 0.5x     | 0.3x     | 0.2x      |
| Permian Resources Corp.        | PR     | 0.7x                   | 0.5x     | 0.4x     | 0.3x     | 0.2x      | 0.5x                   | 0.2x     | 0.0x     | -0.2x    | -0.3x    | -0.4x     |
| Oil E&Ps Median                |        | 0.8x                   | 0.6x     | 0.4x     | 0.4x     | 0.3x      | 1.1x                   | 0.7x     | 0.5x     | 0.3x     | 0.1x     | 0.0x      |
| Royalties & Minerals           |        |                        |          |          |          |           |                        |          |          |          |          |           |
| Viper Energay, Inc.            | VNOM   | 0.9x                   | 0.7x     | 0.6x     | 0.5x     | 0.4x      | 1.0x                   | 0.8x     | 0.7x     | 0.6x     | 0.5x     | 0.4x      |

Source: FactSet, Morgan Stanley Research estimates.

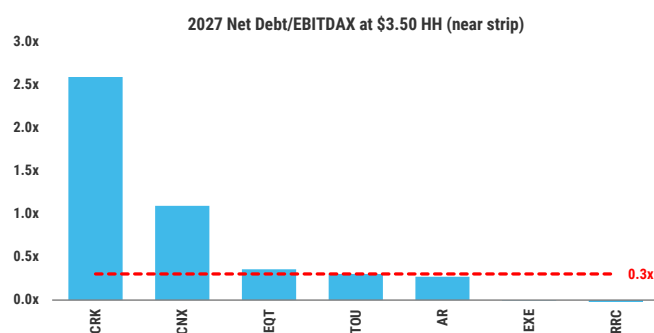
# Sensitizing 2027 Natural Gas prices

**Exhibit 32:** At \$3.50 Henry Hub in 2027 (near strip), our gas-weighted coverage would offer a median FCF/equity yield of 9%, with the highest for AR and EXE...



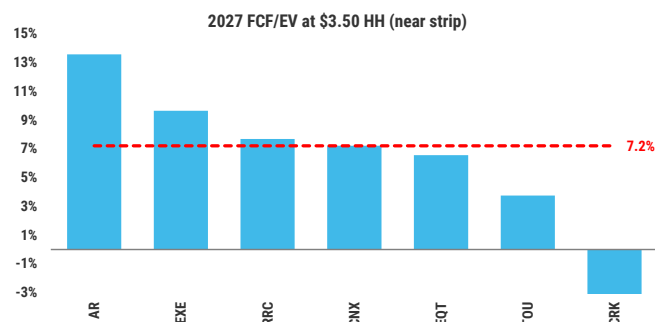
Source: FactSet, Morgan Stanley Research estimates

**Exhibit 34:** Net Debt/EBITDAX would sit at a median of 0.3x at \$3.50...



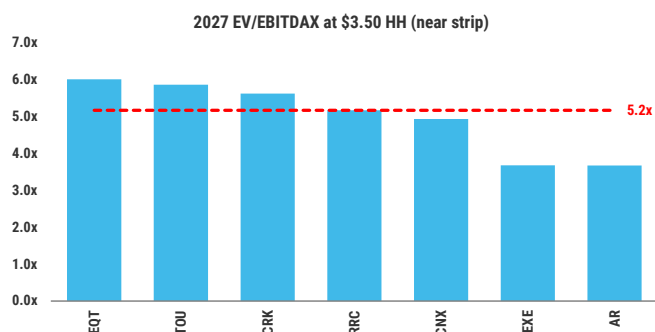
Source: FactSet, Morgan Stanley Research estimates

**Exhibit 33:** ...with FCF/EV sitting at a median of ~7%.



Source: FactSet, Morgan Stanley Research estimates

**Exhibit 35:** ...with EV/EBITDAX at 5.2x



Source: FactSet, Morgan Stanley Research estimates

## Exhibit 36:

FCF yield

|                         |        | 2027E FCF/Equity yield (Pre-Div) |           |           |
|-------------------------|--------|----------------------------------|-----------|-----------|
| Company                 | Ticker | \$2.50 HH                        | \$3.50 HH | \$4.50 HH |
| Gas E&Ps                |        |                                  |           |           |
| Antero Resources Corp.  | AR     | 10%                              | 15%       | 21%       |
| CNX Resources Corp.     | CNX    | 8%                               | 10%       | 13%       |
| Comstock Resources Inc. | CRK    | -14%                             | -6%       | 5%        |
| EQT Corp.               | EQT    | 4%                               | 9%        | 14%       |
| Expand Energy Corp.     | EXE    | 6%                               | 12%       | 19%       |
| Range Resources Corp.   | RRC    | 4%                               | 9%        | 14%       |
| Tourmaline Oil Corp.    | TOU    | -1%                              | 4%        | 9%        |
| Gas E&Ps Median         |        | 4%                               | 9%        | 14%       |

Source: FactSet, Morgan Stanley Research estimates.

## Exhibit 37: FCF/EV

|                         |        | 2027E FCF/EV(Pre-Div) |           |           |
|-------------------------|--------|-----------------------|-----------|-----------|
| Company                 | Ticker | \$2.50 HH             | \$3.50 HH | \$4.50 HH |
| Gas E&Ps                |        |                       |           |           |
| Antero Resources Corp.  | AR     | 9%                    | 14%       | 18%       |
| CNX Resources Corp.     | CNX    | 5%                    | 7%        | 9%        |
| Comstock Resources Inc. | CRK    | -8%                   | -3%       | 3%        |
| EQT Corp.               | EQT    | 3%                    | 7%        | 11%       |
| Expand Energy Corp.     | EXE    | 5%                    | 10%       | 15%       |
| Range Resources Corp.   | RRC    | 3%                    | 8%        | 12%       |
| Tourmaline Oil Corp.    | TOU    | -1%                   | 4%        | 9%        |
| Gas E&Ps Median         |        | 3%                    | 7%        | 11%       |

Source: FactSet, Morgan Stanley Research estimates.

## Exhibit 38: EV/EBITDAX

|                         |        | 2027E EV/EBITDAX |           |           |
|-------------------------|--------|------------------|-----------|-----------|
| Company                 | Ticker | \$2.50 HH        | \$3.50 HH | \$4.50 HH |
| Gas E&Ps                |        |                  |           |           |
| Antero Resources Corp.  | AR     | 5.1x             | 3.7x      | 2.8x      |
| CNX Resources Corp.     | CNX    | 5.7x             | 4.9x      | 4.3x      |
| Comstock Resources Inc. | CRK    | 8.4x             | 5.6x      | 3.8x      |
| EQT Corp.               | EQT    | 9.8x             | 6.0x      | 4.2x      |
| Expand Energy Corp.     | EXE    | 5.1x             | 3.7x      | 2.6x      |
| Range Resources Corp.   | RRC    | 8.4x             | 5.2x      | 3.6x      |
| Tourmaline Oil Corp.    | TOU    | 8.5x             | 5.9x      | 4.5x      |
| Gas E&Ps Median         |        | 8.4x             | 5.2x      | 3.8x      |

Source: FactSet, Morgan Stanley Research estimates.

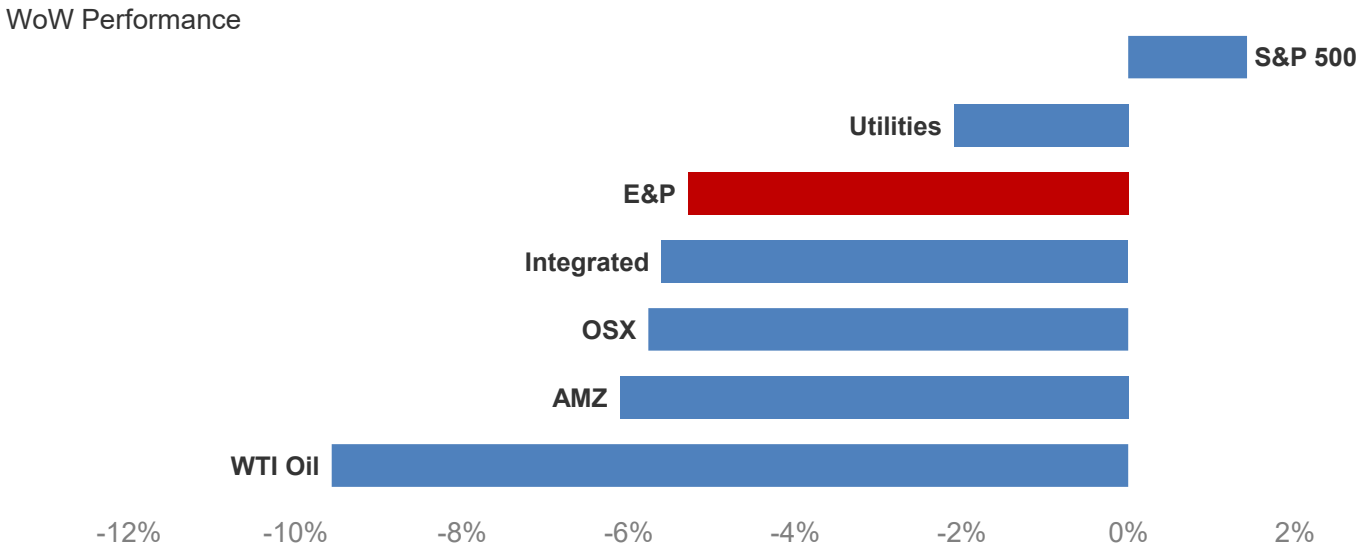
## Exhibit 39: Net debt/EBITDAX

|                         |        | 2027E Net Debt/EBITDAX |           |           |
|-------------------------|--------|------------------------|-----------|-----------|
| Company                 | Ticker | \$2.50 HH              | \$3.50 HH | \$4.50 HH |
| Gas E&Ps                |        |                        |           |           |
| Antero Resources Corp.  | AR     | 0.6x                   | 0.3x      | 0.1x      |
| CNX Resources Corp.     | CNX    | 1.3x                   | 1.1x      | 1.0x      |
| Comstock Resources Inc. | CRK    | 4.0x                   | 2.6x      | 1.6x      |
| EQT Corp.               | EQT    | 1.0x                   | 0.4x      | 0.1x      |
| Expand Energy Corp.     | EXE    | 0.2x                   | 0.0x      | -0.2x     |
| Range Resources Corp.   | RRC    | 0.2x                   | -0.1x     | -0.2x     |
| Tourmaline Oil Corp.    | TOU    | 0.9x                   | 0.3x      | 0.0x      |
| Gas E&Ps Median         |        | 0.9x                   | 0.3x      | 0.1x      |

Source: FactSet, Morgan Stanley Research estimates.

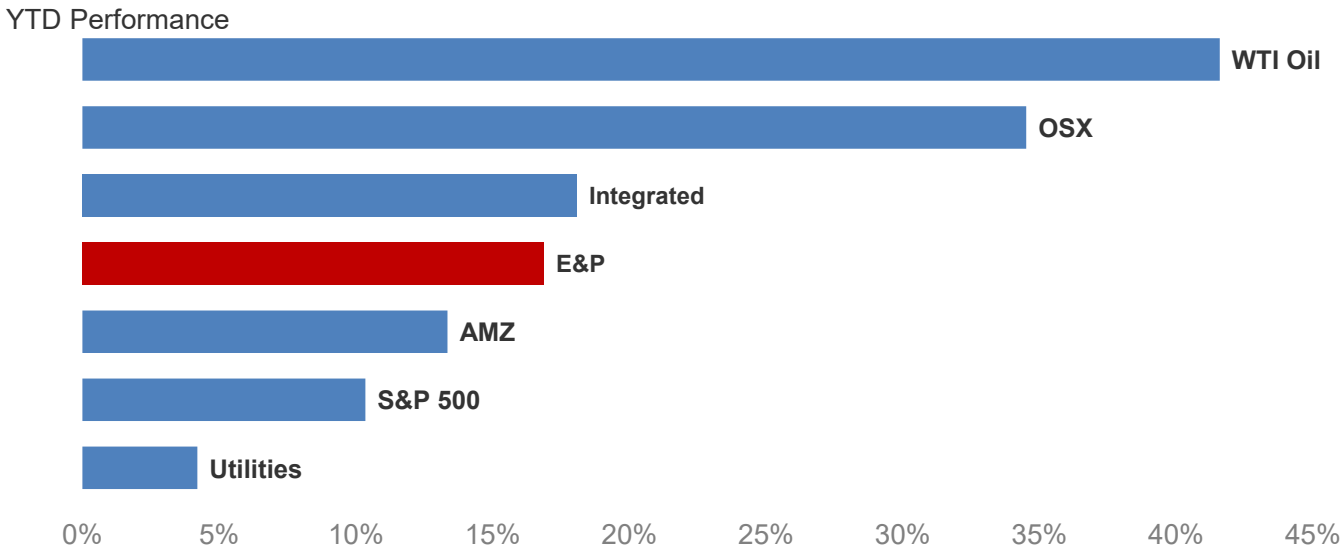
# Performance & Key Industry Metrics

Exhibit 40: WoW Energy Subsector Performance



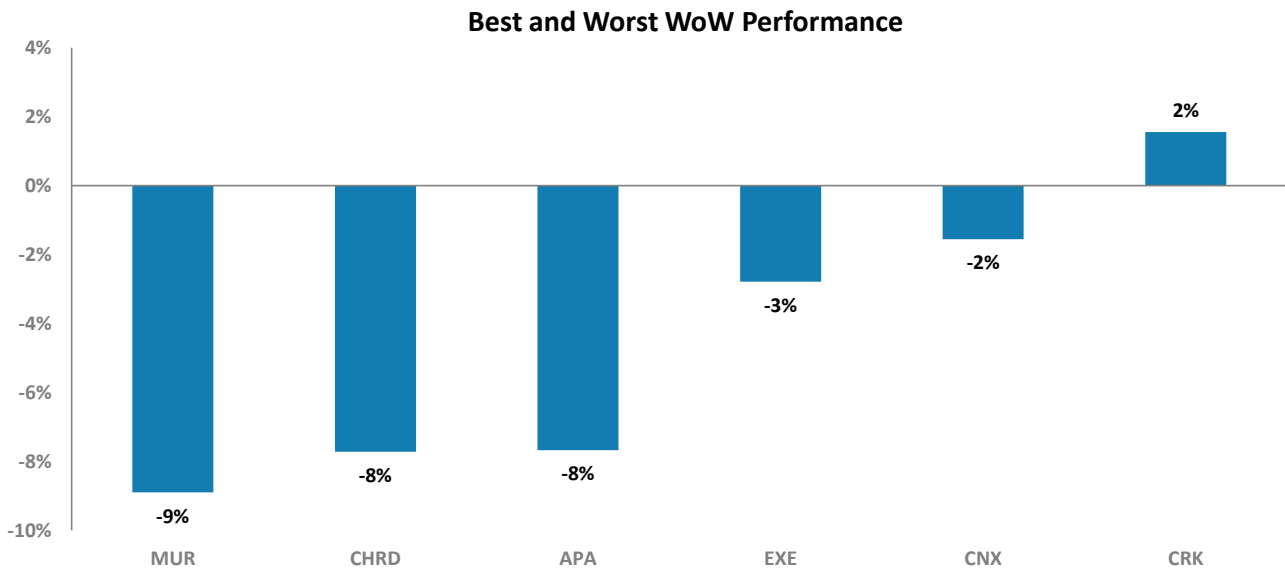
Source: Bloomberg, Morgan Stanley Research

Exhibit 41: YTD Energy Subsector Performance



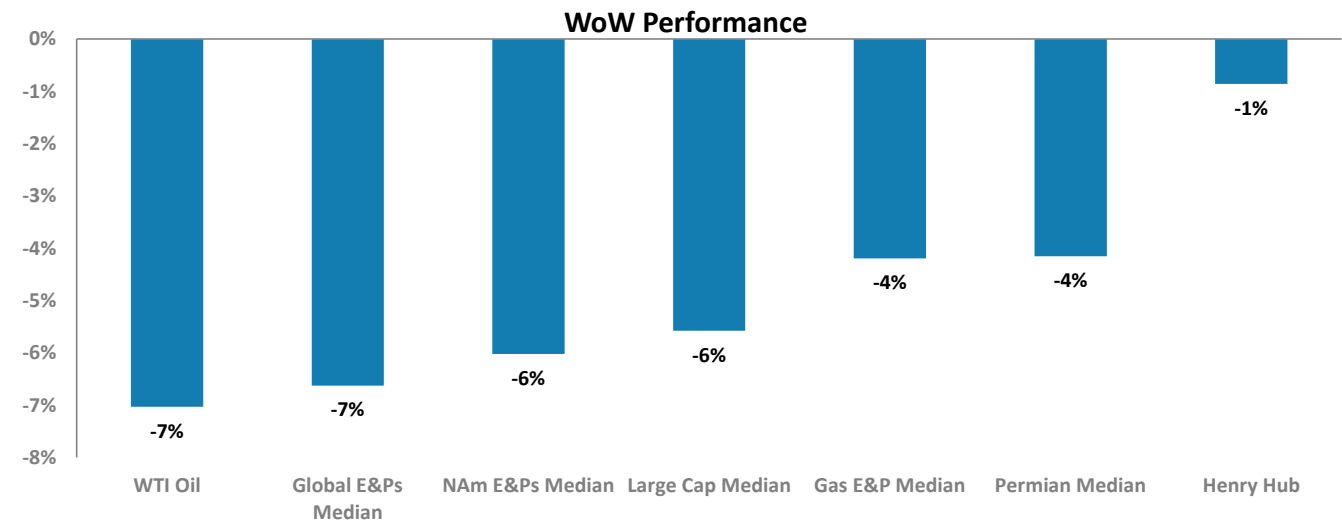
Source: Bloomberg, Morgan Stanley Research

Exhibit 42: Best and Worst E&P WoW Performance



Source: FactSet, Morgan Stanley Research

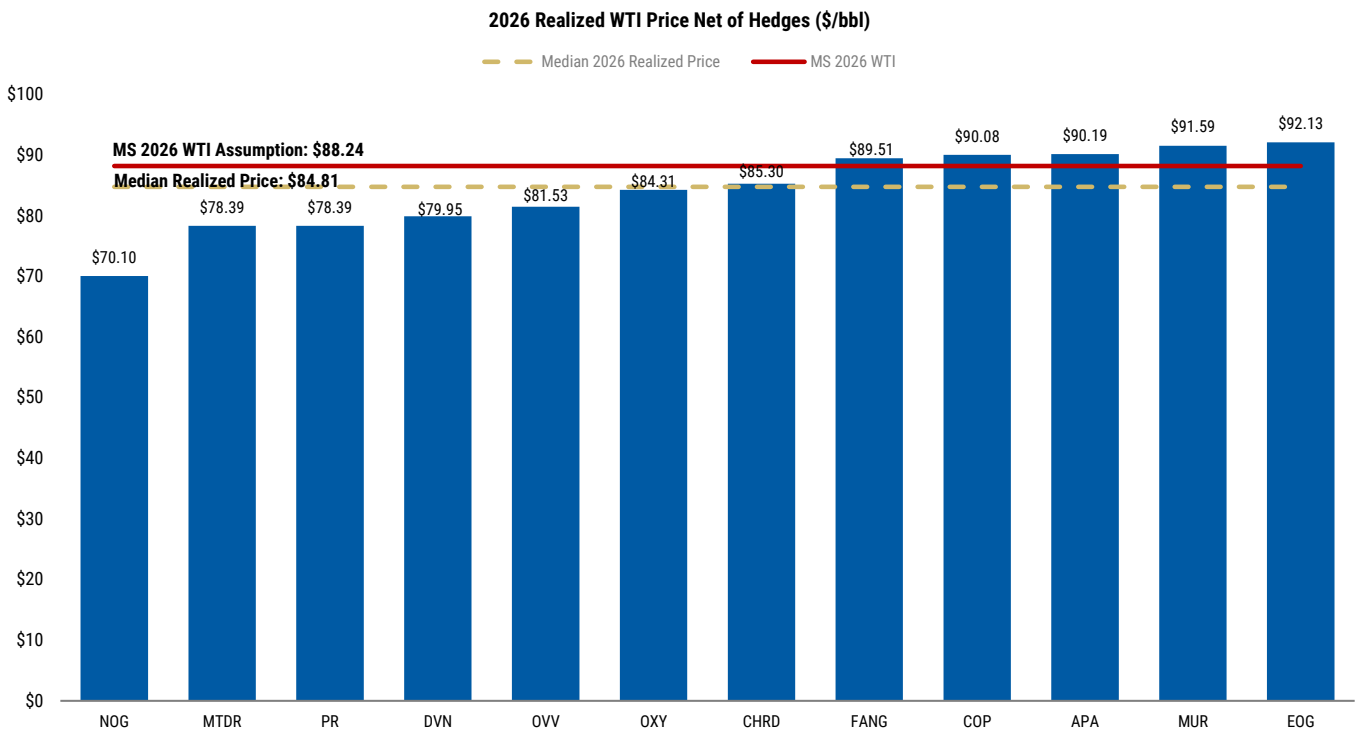
Exhibit 43: WoW Performance by E&P Subsector



Source: FactSet, Morgan Stanley Research



**Exhibit 44:** At our price deck of ~\$88 WTI in 2026, we forecast a median realized price of ~\$85/bbl for our oil coverage. EOG, MUR and APA have the highest realized prices due to limited hedges and/or geographic mix.



Source: Company data, Morgan Stanley Research estimates

## Comps

Exhibit 45: Comp Sheet

| Commodity Benchmark Prices |  |       |       |       |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |
|----------------------------|--|-------|-------|-------|--|--|--|--|--|--|--|--|--|--|--|--|--|--|--|--|--|--|--|--|
|                            |  | 2026E | 2027E | 2028E |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |
| WTI Cushing Oil (\$/Bbl)   |  | 88.19 | 70.00 | 70.00 |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |
| WCS (\$/Bbl)               |  | 67.66 | 55.62 | 55.00 |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |
| Brent Oil (\$/Bbl)         |  | 97.26 | 76.05 | 75.00 |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |
| US Henry Hub (\$/MMBtu)    |  | 3.66  | 3.80  | 3.75  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |
| Mont Belvieu NGL (\$/Bbl)  |  | 31.65 | 28.26 | 28.04 |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |
| GC 321 Brent (\$/Bbl)      |  | 21.19 | 14.20 | 14.20 |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |  |

| Company                        | Ticker | Rating | Price<br>6/15/26 | Market<br>Cap<br>(\$MM) | Price<br>Target | PT<br>Upside | EV/EBITDAX |       |       | EV/<br>Debt-Adjusted Cash Flow |       |       | FCF yield<br>(Pre-Div) |       |       | Total Yield<br>(Dividends + Buybacks) |       |       | Net Debt/<br>EBITDAX |       |       | Prod Growth<br>YoY |       |       |     |
|--------------------------------|--------|--------|------------------|-------------------------|-----------------|--------------|------------|-------|-------|--------------------------------|-------|-------|------------------------|-------|-------|---------------------------------------|-------|-------|----------------------|-------|-------|--------------------|-------|-------|-----|
|                                |        |        |                  |                         |                 |              | 2026E      | 2027E | 2028E | 2026E                          | 2027E | 2028E | 2026E                  | 2027E | 2028E | 2026E                                 | 2027E | 2028E | 2026E                | 2027E | 2028E | 2026E              | 2027E | 2028E |     |
| US Majors                      |        |        |                  |                         |                 |              |            |       |       |                                |       |       |                        |       |       |                                       |       |       |                      |       |       |                    |       |       |     |
| Chevron Corp.                  |        | CVX    | OW               | \$180.40                | 351,065         | \$214        | 19%        | 5.5x  | 6.7x  | 6.3x                           | 6.8x  | 7.9x  | 7.4x                   | 11%   | 8%    | 8%                                    | 7%    | 8%    | 8%                   | 0.3x  | 0.4x  | 0.4x               | 7%    | 3%    | -0% |
| Exxon Mobil Corporation        |        | XOM    | OW               | \$140.92                | 603,842         | \$171        | 21%        | 5.9x  | 6.5x  | 6.0x                           | 7.2x  | 7.8x  | 7.1x                   | 9%    | 8%    | 8%                                    | 6%    | 6%    | 6%                   | 0.1x  | 0.0x  | -0.1x              | -2%   | 8%    | 3%  |
| US Majors Median               |        |        |                  |                         |                 |              | 20%        | 5.7x  | 6.6x  | 6.2x                           | 7.0x  | 7.8x  | 7.3x                   | 10%   | 8%    | 8%                                    | 7%    | 7%    | 7%                   | 0.2x  | 0.2x  | 0.2x               | 3%    | 5%    | 2%  |
| Canada                         |        |        |                  |                         |                 |              |            |       |       |                                |       |       |                        |       |       |                                       |       |       |                      |       |       |                    |       |       |     |
| Canadian Natural Resources Ltd |        | CNQ    | EW               | C\$61.69                | C\$129,178      | C\$67        | 9%         | 5.8x  | 6.4x  | 6.2x                           | 6.5x  | 7.4x  | 7.2x                   | 10%   | 8%    | 8%                                    | 8%    | 7%    | 8%                   | 0.6x  | 0.6x  | 0.6x               | 5%    | 2%    | -1% |
| Cenovus Energy Inc             |        | CVE    | OW               | C\$37.96                | C\$73,516       | C\$43        | 13%        | 4.5x  | 5.1x  | 4.5x                           | 5.2x  | 5.9x  | 5.2x                   | 12%   | 9%    | 10%                                   | 6%    | 7%    | 10%                  | 0.3x  | 0.2x  | 0.2x               | 17%   | 5%    | 5%  |
| Imperial Oil Ltd               |        | IMO    | EW               | C\$168.35               | C\$85,034       | C\$141       | -16%       | 6.6x  | 8.3x  | 7.5x                           | 8.2x  | 10.1x | 9.2x                   | 9%    | 7%    | 7%                                    | 7%    | 7%    | 6%                   | 0.1x  | 0.1x  | 0.0x               | 2%    | 4%    | 1%  |
| Suncor Energy Inc              |        | SU     | EW               | C\$83.39                | C\$101,069      | C\$93        | 12%        | 4.1x  | 5.5x  | 4.8x                           | 4.9x  | 6.5x  | 5.6x                   | 13%   | 8%    | 9%                                    | 7%    | 8%    | 9%                   | 0.0x  | 0.0x  | 0.0x               | 0%    | 6%    | 6%  |
| Canada Median                  |        |        |                  |                         |                 |              | 10%        | 5.1x  | 6.0x  | 5.5x                           | 5.8x  | 7.0x  | 6.4x                   | 11%   | 8%    | 9%                                    | 7%    | 7%    | 9%                   | 0.2x  | 0.2x  | 0.1x               | 3%    | 5%    | 3%  |
| Oil E&Ps                       |        |        |                  |                         |                 |              |            |       |       |                                |       |       |                        |       |       |                                       |       |       |                      |       |       |                    |       |       |     |
| APA Corp.                      |        | APA    | UW               | \$34.77                 | 12,309          | \$44         | 27%        | 2.2x  | 2.9x  | 2.8x                           | 2.7x  | 3.4x  | 3.2x                   | 21%   | 10%   | 11%                                   | 5%    | 6%    | 6%                   | 0.3x  | 0.3x  | 0.2x               | -7%   | 0%    | 4%  |
| Chord Energy Corp.             |        | CHRD   | OW               | \$127.60                | 7,244           | \$175        | 37%        | 2.1x  | 2.4x  | 2.2x                           | 2.2x  | 2.6x  | 2.4x                   | 24%   | 14%   | 14%                                   | 17%   | 10%   | 10%                  | 0.1x  | 0.1x  | 0.0x               | 0%    | -1%   | 0%  |
| ConocoPhillips                 |        | COP    | OW               | \$112.26                | 137,514         | \$153        | 36%        | 4.1x  | 4.5x  | 4.1x                           | 5.2x  | 5.5x  | 5.0x                   | 12%   | 9%    | 10%                                   | 9%    | 8%    | 8%                   | 0.4x  | 0.4x  | 0.3x               | -3%   | 4%    | 2%  |
| Devon Energy Corp.             |        | DEV    | OW               | \$43.53                 | 50,103          | \$66         | 52%        | 3.9x  | 3.5x  | 3.0x                           | 4.4x  | 3.9x  | 3.4x                   | 14%   | 14%   | 15%                                   | 6%    | 8%    | 10%                  | 0.4x  | 0.2x  | 0.1x               | 63%   | 22%   | 0%  |
| Diamondback Energy, Inc.       |        | FANG   | OW               | \$189.96                | 53,719          | \$229        | 21%        | 4.7x  | 5.4x  | 5.0x                           | 5.4x  | 6.1x  | 5.7x                   | 14%   | 10%   | 10%                                   | 4%    | 6%    | 6%                   | 0.6x  | 0.6x  | 0.4x               | 6%    | 1%    | 1%  |
| EOG Resources Inc.             |        | EOG    | EW               | \$131.98                | 70,609          | \$160        | 21%        | 3.8x  | 4.7x  | 4.7x                           | 4.5x  | 5.4x  | 5.3x                   | 13%   | 9%    | 9%                                    | 9%    | 8%    | 8%                   | 0.1x  | 0.1x  | 0.1x               | 14%   | 3%    | 3%  |
| Matador Resources Co.          |        | MTDR   | EW               | \$51.38                 | 6,384           | \$75         | 46%        | 3.2x  | 3.3x  | 3.0x                           | 3.5x  | 3.6x  | 3.2x                   | 18%   | 15%   | 16%                                   | 3%    | 3%    | 4%                   | 0.8x  | 0.7x  | 0.4x               | 3%    | 3%    | 2%  |
| Murphy Oil Corp.               |        | MUR    | UW               | \$36.45                 | 5,263           | \$37         | 2%         | 2.7x  | 3.1x  | 3.1x                           | 3.0x  | 3.4x  | 3.4x                   | 13%   | 8%    | 7%                                    | 9%    | 6%    | 5%                   | 0.4x  | 0.4x  | 0.4x               | -5%   | 7%    | 3%  |
| Northern Oil and Gas, Inc      |        | NOG    | UW               | \$19.96                 | 2,002           | \$29         | 45%        | 3.0x  | 2.8x  | 2.7x                           | 3.7x  | 3.5x  | 3.3x                   | 23%   | 20%   | 20%                                   | 9%    | 10%   | 10%                  | 1.6x  | 1.4x  | 1.3x               | 9%    | -0%   | 0%  |
| Occidental Petroleum Corp.     |        | OXY    | EW               | \$54.46                 | 54,836          | \$74         | 36%        | 4.0x  | 4.7x  | 4.2x                           | 4.2x  | 5.3x  | 4.8x                   | 18%   | 10%   | 11%                                   | 2%    | 2%    | 2%                   | 0.7x  | 0.6x  | 0.3x               | -0%   | 2%    | 3%  |
| Ovintiv Inc                    |        | OVV    | EW               | \$54.31                 | 14,566          | \$68         | 25%        | 3.3x  | 3.7x  | 3.5x                           | 3.5x  | 3.7x  | 4.0x                   | 18%   | 14%   | 11%                                   | 11%   | 11%   | 9%                   | 0.6x  | 0.8x  | 0.8x               | 2%    | -2%   | 0%  |
| Permian Resources Corp.        |        | PR     | OW               | \$18.90                 | 16,109          | \$25         | 32%        | 3.6x  | 3.3x  | 3.0x                           | 4.1x  | 3.9x  | 3.7x                   | 16%   | 15%   | 14%                                   | 3%    | 4%    | 4%                   | 0.3x  | -0.1x | -0.4x              | 5%    | 0%    | 1%  |
| Oil E&Ps Median                |        |        |                  |                         |                 |              | 34%        | 3.5x  | 3.4x  | 3.1x                           | 3.9x  | 3.8x  | 3.6x                   | 17%   | 12%   | 11%                                   | 7%    | 7%    | 7%                   | 0.4x  | 0.4x  | 0.3x               | 3%    | 1%    | 1%  |
| Gas E&Ps                       |        |        |                  |                         |                 |              |            |       |       |                                |       |       |                        |       |       |                                       |       |       |                      |       |       |                    |       |       |     |
| Antero Resources Corp.         |        | AR     | OW               | \$34.03                 | 10,598          | \$56         | 65%        | 4.4x  | 3.4x  | 2.8x                           | 4.7x  | 3.9x  | 3.6x                   | 15%   | 17%   | 14%                                   | 1%    | 6%    | 5%                   | 0.6x  | 0.2x  | -0.1x              | 19%   | 9%    | 4%  |
| CNX Resources Corp.            |        | CNX    | UW               | \$32.96                 | 5,283           | \$34         | 3%         | 5.7x  | 4.7x  | 4.4x                           | 7.8x  | 5.8x  | 5.9x                   | 6%    | 12%   | 10%                                   | 5%    | 6%    | 4%                   | 1.3x  | 1.1x  | 1.0x               | -3%   | 0%    | 0%  |
| Comstock Resources Inc.        |        | CRK    | EW               | \$13.05                 | 3,802           | \$18         | 38%        | 6.6x  | 4.9x  | 4.5x                           | 7.5x  | 5.7x  | 5.2x                   | -12%  | -3%   | -2%                                   | 0%    | 0%    | 1%                   | 3.0x  | 2.2x  | 2.1x               | 5%    | 21%   | 13% |
| EQT Corp.                      |        | EQT    | OW               | \$50.75                 | 31,932          | \$74         | 46%        | 6.0x  | 5.3x  | 4.3x                           | 6.0x  | 6.0x  | 4.9x                   | 12%   | 11%   | 14%                                   | 1%    | 3%    | 3%                   | 0.6x  | 0.3x  | -0.2x              | -0%   | 1%    | 5%  |
| Expand Energy Corp.            |        | EXE    | OW               | \$87.90                 | 21,163          | \$139        | 58%        | 3.8x  | 3.4x  | 3.1x                           | 3.8x  | 3.5x  | 3.3x                   | 14%   | 13%   | 13%                                   | 4%    | 5%    | 8%                   | 0.3x  | 0.0x  | -0.2x              | 5%    | 2%    | 1%  |
| Range Resources Corp.          |        | RRC    | EW               | \$37.46                 | 8,855           | \$50         | 33%        | 5.2x  | 4.5x  | 4.3x                           | 5.5x  | 5.0x  | 5.2x                   | 11%   | 11%   | 9%                                    | 2%    | 3%    | 6%                   | 0.2x  | -0.1x | -0.2x              | 6%    | 9%    | 2%  |
| Tourmaline Oil Corp.           |        | TOU    | EW               | C\$61.26                | C\$24,568       | C\$70        | 14%        | 5.7x  | 5.3x  | 4.5x                           | 5.9x  | 5.6x  | 4.8x                   | 5%    | 6%    | 9%                                    | 5%    | 6%    | 6%                   | 0.2x  | 0.2x  | 0.0x               | -1%   | 7%    | 5%  |
| Gas E&Ps Median                |        |        |                  |                         |                 |              | 38%        | 5.7x  | 4.7x  | 4.3x                           | 5.9x  | 5.6x  | 4.9x                   | 11%   | 11%   | 10%                                   | 2%    | 5%    | 5%                   | 0.6x  | 0.2x  | -0.1x              | 5%    | 7%    | 4%  |
| Royalties & Minerals           |        |        |                  |                         |                 |              |            |       |       |                                |       |       |                        |       |       |                                       |       |       |                      |       |       |                    |       |       |     |
| Viper Energy, Inc.             |        | VNOM   | OW               | \$43.69                 | 15,491          | \$49         | 12%        | 9.8x  | 10.7x | 9.6x                           | 10.8x | 11.3x | 10.0x                  | 12%   | 11%   | 12%                                   | 10%   | 13%   | 13%                  | 0.5x  | 0.7x  | 0.7x               | 36%   | 4%    | 6%  |
| Total Coverage Median          |        |        |                  |                         |                 |              | 27%        | 4.3x  | 4.7x  | 4.3x                           | 5.0x  | 5.4x  | 4.9x                   | 13%   | 10%   | 10%                                   | 6%    | 6%    | 6%                   | 0.4x  | 0.3x  | 0.2x               | 4%    | 3%    | 2%  |

Source: FactSet, Morgan Stanley Research estimates

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(as of May 31, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1542              | 42%        | 465                              | 51%            | 30%                  | 707                                               | 43%                   |
| Equal-weight/Hold     | 1571              | 43%        | 369                              | 40%            | 23%                  | 723                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 551               | 15%        | 86                               | 9%             | 16%                  | 201                                               | 12%                   |
| Total                 | 3,667             |            | 920                              |                |                      | 1632                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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## INDUSTRY COVERAGE: Exploration & Production

| COMPANY (TICKER)                  | RATING (AS OF) | PRICE* (06/15/2026) |
|-----------------------------------|----------------|---------------------|
| <b>Devin McDermott</b>            |                |                     |
| Antero Resources Corp (AR.N)      | O (04/17/2024) | \$34.03             |
| APA Corp (APA.O)                  | U (04/15/2024) | \$34.77             |
| Chord Energy Corporation (CHRD.O) | O (03/27/2026) | \$127.60            |
| CNX Resources Corp (CNX.N)        | U (01/10/2025) | \$32.96             |
| Comstock Resources Inc. (CRK.N)   | E (01/10/2025) | \$13.05             |
| ConocoPhillips (COP.N)            | O (12/16/2024) | \$112.26            |
| Devon Energy Corp (DVN.N)         | O (12/11/2023) | \$43.53             |
| Diamondback Energy Inc (FANG.O)   | O (12/11/2020) | \$189.96            |
| EOG Resources Inc (EOG.N)         | E (12/11/2023) | \$131.98            |
| EQT Corp. (EQT.N)                 | O (11/18/2021) | \$50.75             |
| Expand Energy Corp (EXE.O)        | O (01/10/2025) | \$87.90             |
| Matador Resources Co (MTDR.N)     | E (01/10/2025) | \$51.38             |
| Murphy Oil Corporation (MUR.N)    | U (01/22/2025) | \$36.45             |
| Northern Oil & Gas Inc. (NOG.N)   | U (08/18/2025) | \$19.96             |
| Occidental Petroleum Corp (OXY.N) | E (08/18/2025) | \$54.46             |

|                               |                |          |
|-------------------------------|----------------|----------|
| Ovintiv Inc (OVV.N)           | E (03/27/2026) | \$54.31  |
| Permian Resources Corp (PR.N) | O (01/10/2025) | \$18.90  |
| Range Resources Corp. (RRC.N) | E (03/26/2025) | \$37.46  |
| Tourmaline Oil Corp. (TOU.TO) | E (01/10/2025) | C\$61.26 |
| Viper Energy Inc (VNOM.O)     | O (08/18/2025) | \$43.69  |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

## INDUSTRY COVERAGE: Integrated Energy

| COMPANY (TICKER)                        | RATING (AS OF) | PRICE* (06/15/2026) |
|-----------------------------------------|----------------|---------------------|
| <b>Devin McDermott</b>                  |                |                     |
| Canadian Natural Resources Ltd (CNQ.TO) | E (10/07/2021) | C\$61.69            |
| Cenovus Energy (CVE.TO)                 | O (10/07/2021) | C\$37.96            |
| Chevron Corporation (CVX.N)             | O (08/04/2025) | \$180.40            |
| Exxon Mobil Corporation (XOM.N)         | O (05/14/2024) | \$140.92            |
| Imperial Oil Ltd (IMO.TO)               | E (10/07/2021) | C\$168.35           |
| Suncor Energy Inc (SU.TO)               | E (12/16/2024) | C\$83.39            |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

## INDUSTRY COVERAGE: Diversified Natural Gas

| COMPANY (TICKER)                    | RATING (AS OF) | PRICE* (06/15/2026) |
|-------------------------------------|----------------|---------------------|
| <b>Devin McDermott</b>              |                |                     |
| Cheniere Energy Inc (LNG.N)         | O (03/23/2026) | \$235.25            |
| Cheniere Energy Partners LP (CQP.N) | E (09/20/2019) | \$60.34             |
| Excelerate Energy Inc (EE.N)        | E (11/06/2025) | \$35.04             |
| NextDecade Corporation (NEXT.O)     | E (09/12/2025) | \$7.73              |
| Venture Global Inc (VG.N)           | O (03/23/2026) | \$11.70             |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.